

Accell Group - Valuation Memorandum
Prepared by the Manager's Portfolio Valuation Group
Valuation as of January 31, 2025

Fund Manager: Angelo Gordon
Fund Name: AG Europe Private Equity Fund II
Fund Vintage: 2019
Fund Strategy: Value-Add
Portfolio Company: Accell Group
Operating Name: Accell
Asset/Project Name: Accell Bicycle Platform
Country: Netherlands
Region: Europe
Jurisdiction: Netherlands
Sector: Consumer
Sub-Sector: Recreational Products
Asset Type: Bicycle manufacturer
Investment Type: Common Equity
Methodology Type: Equity
Ownership %: 38.5%
Dev Stage: Operating
FV Hierarchy Level: Level 3

Primary Methodology: Market multiples
Primary Method Weight %: 100%
Methodology Changed QoQ: No

Valuation Summary
Implied EV: \$545.0M
Net Debt: \$120.0M
Implied Equity Value 100%: \$425.0M
Fund Share Equity Value: \$163.6M
FX Rate (Current): 1.0842
FX Rate (Prior Qtr): 1.0915

Market Multiple Methodology

Selected Multiple: 8.5x

Prior Quarter Multiple: 8.2x

Multiple Metric: EV/LTM EBITDA

Basis Year: LTM

EBITDA Base: \$64.1M

Premium/Discount to Mean: (15.0)%

Premium/Discount Rationale: Size and liquidity discount vs listed peers

Multiple Implied EV: \$545.0M

Operating Performance

Revenue: \$410.0M

EBITDA: \$64.1M

EBITDA vs Budget: (3.2)%

Maintenance Capex: \$18.0M

Growth Capex: \$9.5M

Distributions in Period: \$0.0M

Net Debt/EBITDA: 1.9x

DSCR: 2.4

Calibration to Entry

Investment Close Date: June 30, 2021

Initial Cost Basis: \$150.0M

Entry Multiple: 7.6x

Entry Multiple Metric: EV/LTM EBITDA

Entry EBITDA / NOI: \$58.0M

Entry TEV: \$441.0M

Underwrite Gross IRR: 18.0%

Underwrite Target MOIC: 2.2x

Underwrite Holding Period: 5 years

Calibration Status: Calibrated

Trading Comparables (peer set as of the valuation date)

Returns Summary

Gross IRR: 16.4%

Net IRR: 13.1%

MOIC: 1.6x

DPI: 0.25

Fair Value as % of Cost: 109.1%

Unrealized Value: \$163.6M

Realized Value: \$37.5M

Total Invested Capital: \$184.5M

Company	Ticker	TEV (\$M)	LTM EBITDA	EV/LTM EBITDA	EV/NTM EBITDA	Include
Giant Manufacturing	9921	4,120	505	8.2x	7.7x	Yes
Shimano Inc	7309	18,500	2,030	9.1x	8.6x	Yes
Thule Group	THULE	3,950	430	9.2x	8.8x	Yes
Dorel Industries	DII.B	1,150	148	7.8x	7.4x	No
Mean				8.6x	8.1x	
Median				8.7x	8.2x	

Quarter-over-Quarter NAV Bridge and Governance

ASC 820 Governance

Level Changed from Prior: No

Calibrated to Tx Price: Yes

Months Since 3P Corroboration: 7

Management Overlay Applied: No

DLOM Applied: No

DLOC Applied: No

Narrative

Valuation Tone: Balanced

Key Value Drivers: E-bike demand recovery and inventory normalization

Key Risks: Consumer discretionary exposure and FX translation

Material Changes QoQ: Comp set re-rating drove the modest uplift

Driver	Impact (\$M)
Prior Qtr NAV	158.3
Operating Performance	3.1
Multiple / Exit Assumption	1.4
Capital Activity	0.0
FX	0.8
Other	0.0
NAV Change	5.3